

## DAVID VS. GOLIATH CASE STUDY

# How an 86-Minute Bot Denial Broke a \$10B Fintech

**What happens when automated billing bots, locked accounts, and big law firms meet the receipts.**

- Step 1: Criminal identity theft reported with police report
- Step 2: Automated bot denies dispute in 86 minutes
- Step 3: Execs admit fraud in writing... then lock the app
- Step 4: How we bypassed the lockout via Federal Reserve ACH

**Swipe for the forensic receipts →**

## 01 / The 86-Minute "Investigation"

# 86 MINUTES

### From Police Report Submission to Automated Bot Denial

Monroe Police Incident Report #26-29572 + OnTrac Carrier Logs

#### The 2,000-Mile Shipping Gap

Carrier tracking showed the package was delivered to an address in California—over 2,000 miles away from Monroe, Louisiana. A human would have caught this in 10 seconds.

#### The Algorithmic Rubber-Stamp

No human investigator opened the police PDF. The dispute was fed through a machine-learning filter designed to close claims instantly and protect merchant transaction fees.

## 02 / Winning The Dispute, Losing The App

### THE PARADOX

**July 16: Execs admit fraud in writing (\$0 balance)**

**July 17: Managing Counsel directs staff to LOCK account**

Directive issued by Managing Counsel Andy Chen.

### Why Did They Lock It?

Because the charge was on a single-use virtual card, their backend ledger had no idea how to route the refund. Instead of fixing their software glitch, they froze the entire user account.

### The Circus

Locking the app disabled the pay button on active, performing loans. Meanwhile, automated emails fired daily threatening late fees, while marketing emails recommended new luxury goods to buy!



## 03 / The Federal Reserve ACH Flank

### Bypassing the App Entirely

Instead of arguing with customer service, I routed monthly payments directly from external Online BillPay to Affirm's corporate ACH lockbox. Funds moved directly across Federal Reserve clearing rails. They were legally paid. Every subsequent collection threat became illegal.

### AmLaw 10 Retainers Over a \$104 Dispute

Affirm brought in Morgan Lewis & Bockius partners to send Cease & Desist orders. When they submitted misleading claims to the CFPB portal, I filed sworn rebuttals under 18 U.S.C. § 1001 with bank ACH trace logs.

### The Takeaway

When dealing with fintech lockouts, paper beats pixels. External bank ACH traces and sworn police incident reports make it impossible for automated systems to manufacture defaults.

## 04 / What Pitch Decks Don't Tell You

**\$13.8 Billion**

Q2 2026 Gross Volume  
(+35% Expansion)

**\$214 Million**

Credit Loss Provisions  
(+40% YoY Spike)

### The 71% Interest Reality

- Marketed as cute "interest-free 0% Pay-in-4" shopping apps.
- In reality, 71% of Affirm's loan volume carries interest.
- Only 13% of installment volume is actually 0% interest.
- APRs reach up to 36.99%—higher than most credit cards.

### Why The CFPB Is Stepping In

Federal regulators are closing the loophole: BNPL lenders are being classified under Regulation Z rules—forcing them to provide the same 60-day billing dispute rights as traditional credit cards.

## 05 / Read The Full Paper Trail

### Open-Source Regulatory Archive

- Certified Monroe Police Incident Report #26-29572
- Internal Affirm Managing Counsel Directives & Emails
- California Dept of Justice Determination Letters
- SEC Form TCR Whistleblower Intake #17867-223-108-883
- Interactive Dispute Readiness & Legal Demand Generators

Read the full case study & evidence vault at:

**[kinslow-regulatory-archive.org](https://kinslow-regulatory-archive.org)**

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